

The purchase of multiple insurance covers with high premiums might get us complaining about the little left for our investments and consumption. But we are only insuring ourselves in line with our income. Moreover, paying premiums is a planned and systemic outgo. On the other hand, a liability arises out of the blue and usually requires a significant amount. So, smaller premiums out of income are much better than large one-time items that put our financial plan completely out of context. We do not want unpredictable liabilities destroying our financial health.

We build a full-proof insurance system so that we can protect the growth plan that we will be making going forward to meet all our financial goals. Emergency funds and insurance system will help us insure everything else that we achieve financially and to do so, paying a small part of our annual income is a good trade-off.

